

# PURCHASE ORDER AUTHORIZATION POLICY

Enterprise Policy Document | Policy No. POL-POA-018 | Version 2.0

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| Policy Number:      | POL-POA-018                      |
| Version:            | 2.0                              |
| Effective Date:     | January 23, 2024                 |
| Next Review Date:   | January 23, 2025                 |
| Policy Owner:       | Bianca Bass (EMP-3435) — Manager |
| Approval Authority: | General Counsel                  |
| Classification:     | Internal — Confidential          |

## 1. PURPOSE AND SCOPE

This policy Defines thresholds requiring purchase order pre-approval, single-source justification, and emergency procurement exceptions. It applies to all employees, contractors, and third parties acting on behalf of the organisation, across all business units and geographies in which the organisation operates. Non-compliance with this policy may result in disciplinary action up to and including termination of employment or contract.

## 2. POLICY STATEMENT

The organisation is committed to maintaining the highest standards of governance, transparency, and accountability in relation to purchase order authorization policy. All transactions, approvals, and decisions falling within the scope of this policy must be conducted in accordance with the clauses set out below and are subject to periodic review by Internal Audit.

## 3. KEY CLAUSES

- Clause POA-1: All transactions exceeding the delegated approval limit must be escalated to the next approval level prior to execution.
- Clause POA-2: Supporting documentation, including receipts, contracts, or compliance certificates, must be retained and attached to the relevant record.
- Clause POA-3: Any deviation from this policy requires written justification and sign-off from the designated approval authority.
- Clause POA-4: Periodic monitoring will be performed by Internal Audit to assess adherence and identify control gaps.
- Clause POA-5: Violations identified during audit review will be logged as findings and tracked to remediation.

## 4. CONTROLS

| Control ID  | Type       | Description                                                                                 | Frequency |
|-------------|------------|---------------------------------------------------------------------------------------------|-----------|
| POA-CTRL-01 | Corrective | Remediation and corrective action workflow applied to transactions governed by this policy. | Quarterly |
| POA-CTRL-02 | Preventive | Automated system validation applied to transactions governed by this policy.                | Monthly   |
| POA-CTRL-03 | Detective  | Periodic reconciliation and review applied to transactions governed by this policy.         | Quarterly |
| POA-CTRL-04 | Corrective | Remediation and corrective action workflow applied to transactions governed by this policy. | Annually  |

5. APPROVAL AUTHORITY MATRIX

| Authority Level     | Transaction Threshold | Required Approver |
|---------------------|-----------------------|-------------------|
| Level 1 (Staff)     | Up to \$5,000         | Direct Manager    |
| Level 2 (Senior)    | Up to \$25,000        | Department Head   |
| Level 3 (Manager)   | Up to \$100,000       | VP / Director     |
| Level 4 (Director)  | Up to \$500,000       | Chief Officer     |
| Level 5 (Executive) | Above \$500,000       | General Counsel   |

6. EXCEPTION HANDLING

Exceptions to this policy must be documented using the standard Exception Request Form and approved by General Counsel prior to the transaction or activity taking place. Retrospective exception approval is permitted only in emergency circumstances and must be ratified within five (5) business days.

7. REVIEW AND REVISION HISTORY

| Version | Date       | Revised By      | Summary of Changes                        |
|---------|------------|-----------------|-------------------------------------------|
| 1.9     | 2022-05-12 | Scott Blackburn | Initial baseline / periodic review update |
| 2.0     | 2024-01-23 | Bianca Bass     | Approved current version                  |